

(Reg. No. 26538)

Esso Petroleum Company, Limited

Annual Report

For the year ended

31 December 2005



A58
COMPANIES HOUSE

AG051JTW

80
20/10/2006

Esso Petroleum Company, Limited
CONTENTS
for the year ended 31 December 2005

COMPANY INFORMATION	2
REPORT OF THE DIRECTORS	3-5
INDEPENDENT AUDITORS' REPORT	6
PROFIT AND LOSS ACCOUNT	7
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES	8
NOTE OF HISTORICAL COST PROFITS AND LOSSES	9
BALANCE SHEET	10
NOTES TO THE FINANCIAL STATEMENTS	11-24

Esso Petroleum Company, Limited
COMPANY INFORMATION
for the year ended 31 December 2005

DIRECTORS

T G Katinas
R C Olsen
J Selzer
A M F Todd

SECRETARY

J N Boydell

REGISTERED OFFICE

ExxonMobil House
Ermyrn Way
Leatherhead
Surrey KT22 8UX

AUDITORS

PricewaterhouseCoopers LLP
1 Embankment Place
London WC2N 6RH

Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2005

The directors present their annual report and the audited financial statements for the year ended 31 December 2005.

DIRECTORS AND THEIR INTERESTS

The directors who held office during the year and to the date of this report are listed on page 2.

During the year and in the period to the date of this report none of the directors had any interests in shares of Esso Petroleum Company, Limited ("the Company") or in the shares of any Exxon Mobil Corporation group company (the "Group") such as would be required to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

PRINCIPAL ACTIVITIES, REVIEW OF THE BUSINESS AND FUTURE DEVELOPMENTS

The principal activities of the Company are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2005 are listed in note 11 to the accounts.

During 2005 profits continued to improve, mainly driven by higher refining margins and throughput volumes. Retail consolidated its position in the market and despite intense competition had a good year. Self help initiatives have also resulted in lower operating expenditures.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of operational integrity.

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

FINANCIAL RISK MANAGEMENT

The Company is exposed to financial risks from a variety of factors that include credit, liquidity, interest rates, foreign exchange and prices. The Company has in place mechanisms that seek to limit the possible adverse impact on the financial performance of the Company.

Credit Risk - The Company has implemented policies and procedures which require appropriate credit checks on potential customers before sales are made. The Company also has systems and processes to ensure the ongoing monitoring of customer credit worthiness and has in place procedures to enable it to respond to customers whose change in credit risk is detected.

Liquidity Risk - The Company actively manages its finances to ensure that it has sufficient available funds for its operations. It is the directors' understanding that the Corporation will continue to provide suitable resources to the Company to meet its needs. The Company has a process in place to monitor the best financing structure for the Company and periodically review its strategies. Following such reviews, loans may be repaid prior to their maturity date and / or extended and / or replaced by alternative funding arrangements.

Interest rate cash flow risks - The Company can have both interest bearing assets and liabilities; these are generally held at floating rates. The Company monitors its portfolio of interest bearing assets and liabilities and their financial impact. The Company will reconsider the appropriate structure of its portfolio should the Company's operations change in size or nature.

Foreign exchange risk - The Company may have assets and liabilities denominated in foreign currencies, predominantly US Dollar and the Euro. The Company does not use derivative financial instruments to manage the risk of fluctuating exchange rates and as such no hedge accounting is applied. The Company has in place a foreign exchange policy and will reconsider the appropriateness of this policy should the Company's operations change in nature.

Price risk - The Company is exposed to fluctuations in the oil, petrochemical and gas prices as a result of its operations. The Company does not use derivative financial instruments to manage the risk of fluctuating prices and as such no hedge accounting is applied. The Company will revisit the appropriateness of this policy should the Company's operations change in nature.

RESULTS AND DIVIDENDS

The Company's profit for the year was £287.3m (2004: £145.3m). The comparatives for 2004 have been restated as detailed in note 1 to the financial statements in order to comply with current accounting standards. The profit for the year ended 2004 as filed was £145.4m.

No dividends were paid during the year (2004: £nil).

Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2005

DONATIONS

During 2005 the Company made total donations and other support to the community of £830,621 (2004: £743,368). Of this, charitable donations amounted to £203,402 (2004: £329,841). There were no political donations (2004: £nil).

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support service, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided by other members of the Group.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate holding Company, Exxon Mobil Corporation. Each year, Exxon Mobil Corporation publishes a detailed and comprehensive Corporate Citizen Report that gives a full account of its positions, actions and performance.

In July 2006, another Group Company, Esso UK Limited, published a UK and Ireland Corporate Citizenship brochure that provided examples of corporate social responsibility in key areas such as health and safety, the environment and community support.

Copies of these publications can be obtained by writing to: ExxonMobil Information Services, PO Box 30, Alton, Hampshire GU34 4PY, sending an email to esso@mmcltd.com or phoning 01420 - 525534. Alternatively, they can be viewed on www.exxonmobil.co.uk on the publications page of the news room.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Group's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

EMPLOYMENT POLICY

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion, exist for disabled persons and employees who have become disabled while employed by the Company, having regard to their particular circumstances.

EMPLOYEE INVOLVEMENT

The Company has established over many years a comprehensive programme of employee communication and consultation. The directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

AUDITORS

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office. The Company has exercised its entitlement under s386 of the Companies Act 1985 to dispense with appointing auditors annually and under s366A to dispense with holding Annual General Meetings.

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2005

POST BALANCE SHEET EVENTS

On 3 April 2006 one loan for £200.0m bearing interest at the rate of LIBOR + 0.55% was repaid by the Company.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

Company law requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

The directors are required to prepare financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors confirm that suitable accounting policies have been used and applied consistently with the exception of those changes arising from the adoption of new accounting standards as explained in note 1 to the financial statements. They also confirm that reasonable and prudent judgements and estimates have been made in preparing the financial statements for the year ended 31 December 2005 and that applicable Accounting Standards have been followed.

The directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board,

Janet Selzer

DIRECTOR
J. SELZER

Director

16th OCTOBER 2006

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements of Esso Petroleum Company, Limited for the year ended 31 December 2005 which comprise the profit and loss account, the balance sheet, the statement of total recognised gains and losses, the note of historical cost profits and losses and the related notes. These financial statements have been prepared under the accounting policies set out therein.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As described in the statement of directors' responsibilities the Company's directors are responsible for the preparation of the financial statements in accordance with applicable law and United Kingdom accounting standards (United Kingdom Generally Accepted Accounting Practices).

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland). This report, including the opinion, has been prepared for and only for the Company's members as a body in accordance with Section 235 of the Companies Act 1985 and for no other purpose. We do not, in giving this opinion, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or in to whose hands it may come save where expressly agreed by our prior consent in writing.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and transactions is not disclosed.

We read the directors' report and consider the implications for our report if we become aware of any apparent misstatements within it.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion the financial statements give a true and fair view, in accordance with the United Kingdom Generally Accepted Accounting Practice of the state of the Company's affairs at 31 December 2005 and of its profit for the year then ended and have been properly prepared in accordance with the Companies Act 1985.

PricewaterhouseCoopers LLP

PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
London

16 October

2006

Esso Petroleum Company, Limited
PROFIT AND LOSS ACCOUNT
for the year ended 31 December 2005

	Note	2005 £m	Restated 2004 £m
Continuing operations:			
Turnover	2	6,116.7	4,427.1
Cost of sales		<u>(5,443.6)</u>	<u>(3,889.7)</u>
GROSS PROFIT		673.1	537.4
Distribution costs		(239.5)	(280.6)
Administrative expenses		<u>(14.7)</u>	<u>(15.9)</u>
OPERATING PROFIT	3	418.9	240.9
Income from shares in group undertakings		2.7	2.0
Income from fixed asset investments		0.9	1.3
Profit on sale of fixed assets		<u>7.7</u>	<u>27.4</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE INTEREST AND TAXATION		430.2	271.6
Interest receivable and similar income	6	11.4	12.6
Interest payable and similar charges	7	(28.5)	(35.7)
Other finance charges	23	<u>(10.5)</u>	<u>(4.3)</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		402.6	244.2
Taxation on profit on ordinary activities	8	<u>(115.3)</u>	<u>(98.9)</u>
PROFIT FOR THE FINANCIAL YEAR	18	<u>287.3</u>	<u>145.3</u>

Esso Petroleum Company, Limited
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES
for the year ended 31 December 2005

	Note	2005 £m	Restated 2004 £m
PROFIT FOR THE FINANCIAL YEAR		287.3	145.3
Actuarial loss on pension plan	23	(65.1)	(96.7)
Movement on deferred taxation related to pension liabilities	16, 18, 23	19.5	29.0
Unrealised surplus/(deficit) on revaluation of retail sites	10, 18	<u>(0.8)</u>	<u>215.7</u>
TOTAL RECOGNISED GAINS RELATING TO THE YEAR		240.9	<u>293.3</u>
Prior year adjustment - FRS 17	1, 19	<u>(615.2)</u>	
TOTAL GAINS AND LOSSES RECOGNISED SINCE LAST ANNUAL REPORT		<u>(374.3)</u>	

Esso Petroleum Company, Limited
NOTE OF HISTORICAL COST PROFITS AND LOSSES
for the year ended 31 December 2005

	2005 £m	Restated 2004 £m
REPORTED PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	402.6	244.2
Realisation of property revaluation gains of previous years	<u>19.6</u>	<u>0.0</u>
HISTORICAL COST PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	<u>422.2</u>	<u>244.2</u>
HISTORICAL COST PROFIT FOR THE YEAR RETAINED AFTER TAXATION	<u>306.9</u>	<u>145.3</u>

Esso Petroleum Company, Limited
BALANCE SHEET
as at 31 December 2005

	Note	2005 £m	Restated 2004 £m
FIXED ASSETS			
Intangible assets	9	4.8	5.4
Tangible assets	10	1,395.0	1,441.7
Investments	11	9.7	9.7
TOTAL FIXED ASSETS		1,409.5	1,456.8
CURRENT ASSETS			
Stocks	12	425.4	336.7
Debtors falling due within one year	13	938.2	641.8
Debtors falling due after more than one year	13	47.0	39.2
Cash at bank and in hand	1	2.6	1.2
TOTAL CURRENT ASSETS		1,413.2	1,018.9
Creditors: Amounts falling due within one year	14	(1,885.5)	(1,595.8)
NET CURRENT LIABILITIES		(472.3)	(576.9)
TOTAL ASSETS LESS CURRENT LIABILITIES		937.2	879.9
Creditors: Amounts falling due after more than one year	14	(19.7)	(23.1)
Provisions for liabilities and charges	16	(110.8)	(116.5)
NET ASSETS EXCLUDING PENSION LIABILITY		806.7	740.3
Pension liability	23	(425.3)	(599.8)
NET ASSETS INCLUDING PENSION LIABILITY		381.4	140.5
CAPITAL AND RESERVES			
Called up share capital	17	228.4	228.4
Profit and loss reserve	18	(231.6)	(492.9)
Revaluation reserve	18	381.3	401.7
Capital reserve	18	3.3	3.3
TOTAL SHAREHOLDER'S FUNDS	19	381.4	140.5

The financial statements on pages 7 to 24 were approved by the board of directors on
and were signed on its behalf by:

16th OCTOBER

2006

James Selzer

Director

J. SELZER

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

1 ACCOUNTING POLICIES

These financial statements are prepared on the going concern basis under the historical cost convention, as modified by the revaluation of certain tangible fixed assets, in accordance with the Companies Act 1985 and applicable Accounting Standards.

With the exception of changes to accounting standards, detailed under the heading "Changes to accounting policies", the principal accounting policies have been applied consistently and are set out below.

In addition the presentation of cash balances has changed from prior years. This is detailed below under the heading "Cash".

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Esso UK Limited which is incorporated in England and Wales. The Company has taken advantage of the exemption from preparing group accounts under FRS 2, 'Accounting for subsidiary undertakings'.

CASH FLOW STATEMENT

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of Financial Reporting Standard 1 (revised 1996), 'Cash flow statements'.

TURNOVER

Revenue associated with the processing and sale of crude oil, natural gas, petroleum products and related goods and services are recognised when the title passes to the customer, which typically occurs at the point of delivery or point of receipt depending on contractual terms. Revenue from sales made by refining operations are typically recognised when the product is placed onboard a vessel, on discharge or into a pipeline depending on agreed contractual terms.

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

Assets held under leases which transfer substantially all the benefits and risks of ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments. Purchased goodwill and emission rights are shown as an intangible asset. All other fixed assets are considered to be tangible.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

Depreciation and amortisation are charged to reduce the cost of each group of assets to its residual value over its expected useful life.

All assets are depreciated or amortised by equal annual instalments as follows:

Buildings	3.3% to 4% per annum
Plant and Equipment	3.3% to 20% per annum
Leasehold land	0.5% to 6.66% per annum
Assets under construction	Not depreciated until brought into use
Freehold land	Not depreciated

REVALUATION OF FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors, with a review of the valuation made on an interim basis in accordance with FRS 15, 'Tangible fixed assets'. An annual review is undertaken where there is evidence of a significant change in the revaluation. The last full review was undertaken in 2004.

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

1 ACCOUNTING POLICIES (continued)

GOODWILL

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which is typically between 10 and 20 years, being the directors' best estimate of the period over which the goodwill will be realised.

STOCKS AND WORK IN PROGRESS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in, first-out method, including an appropriate proportion of overheads.

DEFERRED TAXATION

Provision for deferred tax is made in accordance with Financial Reporting Standard 19, 'Deferred Tax'. Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements and their recognition for tax purposes.

Deferred tax liabilities and assets are discounted.

OPERATING LEASES

Operating lease payments are charged to the profit and loss account in the period to which they relate.

PENSION COSTS

The Company operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. In accordance with Financial Reporting Standard 17, 'Retirement benefits' the expected cost of providing pensions and related benefits are charged to the profit and loss account. Any difference between the expected cost and the actual costs in the year are reported in the statement of total recognised gains and losses. The difference between the actuarial liability and the market value of the assets at the end of the period, after accounting for taxation, is included as an asset or liability in the balance sheet. The pension cost is assessed in accordance with the advice of independent qualified actuaries and full actuarial valuations are carried out every 3 years.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred.

IMPAIRMENTS AND PROVISIONS

Tangible assets, intangible assets and goodwill are regularly reviewed for evidence of possible impairment. Major assets, including goodwill, are reviewed on a yearly basis while other assets are reviewed where events or changes in circumstance indicate that an impairment review is necessary. Where a review indicates that the asset, or income generating unit where applicable, requires impairment then the carrying value will be written down immediately to its fair value.

CASH

As part of ExxonMobil's Treasury operations, the Company participates in an interest bearing bank account pooling arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount as at the balance sheet date is fully liquid with the Company retaining full ability to access the cash at any time. Interest is charged/credited on balances, including any overdraft positions, on commercially competitive terms.

The Company has changed the way cash is presented in the Financial statements. The effect of this change is shown below.

	2005 £m	2004 £m
Increase in trade debtors	47.1	38.2
Decrease in cash	(47.1)	(37.3)
Decrease in trade creditors	0.0	(1.7)
Increase in bank loans and overdrafts	0.0	2.6

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

1 ACCOUNTING POLICIES (continued)

CHANGES IN ACCOUNTING POLICIES

The Company has adopted FRS 17, 'Retirement Benefits', FRS 21, 'Events after the balance sheet date', FRS 25, 'Financial Instruments: disclosure and presentation' and FRS 28, 'Corresponding Amounts' in these financial statements. The adoption of these standards represents a change in accounting policy and the comparative figures have been restated accordingly.

(i) The effect of adopting FRS 17 was to increase staff costs, other finance charges and deferred taxation by £41.7m (2004: £39.8m); £10.5m (2004: £4.3m) and £24.3m (2004: £44.9m) respectively. The overall effect was to decrease profit for the year by £76.5m (2004: £89.0m) and to decrease the total recognised gains and losses by £45.6m (2004: £67.7m).

The adoption of FRS 21 and FRS 28 has no impact on the financial statements.

The effect of adopting the presentation requirements of FRS 25 was to reclassify redeemable shares of £345.0m (2004: £345.0m) from equity to liabilities, intercompany loan debtors of £1.7m (2004: £3.0m) from long term to short term and intercompany loan creditors of £700.0m (2004: £300m) from long term to short term.

2 SEGMENTAL ANALYSIS

The Company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services. Turnover is recognised on transfer of legal title.

	2005 £m	2004 £m
TURNOVER BY DESTINATION		
United Kingdom	3,167.4	3,346.5
Europe	2,231.9	775.4
Rest of the World	717.4	305.2
TOTAL	6,116.7	4,427.1

The Company's turnover and profit before tax is all related to the oil and gas business and is all derived from trading activities that take place in the United Kingdom.

3. OPERATING PROFIT

This is stated after charging the following amounts:

	2005 £m	Restated 2004 £m
Wages and salaries	100.1	101.1
Social security costs	7.9	8.1
Other pension costs	41.7	39.8
Other staff costs	5.9	5.3
TOTAL STAFF COSTS	155.6	154.3
Auditors' remuneration		
- audit services	0.2	0.2
- non-audit services	0.1	0.1
Operating leases - other	18.5	20.1
Depreciation - owned assets	78.7	77.1
Amortisation of goodwill	0.6	1.0
Research and development	2.8	5.0

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

3. OPERATING PROFIT (continued)

Other staff costs comprise the cost of employees working on behalf of the Company who were seconded from other ExxonMobil affiliates. Not included above is £38.4m (2004: £41.7m) of staff costs for employees of Esso Petroleum Company, Limited who are seconded to other ExxonMobil affiliates. The costs related to these employees are fully recoverable by the Company.

The amount for wages and salaries and other staff costs for the 2004 have been restated following a review of the costs and recharges being recognised for these categories. The comparatives for 2004 were £85.1m and £5.6m respectively.

In line with the new accounting standard, FRS 17, 'Retirement benefits', the 2004 comparative for 'Other pension costs' has been restated. The figure for 2004 was previously £43.3m.

4 DIRECTORS' EMOLUMENTS

	2005 £k	2004 £k
DIRECTORS' EMOLUMENTS - AGGREGATE		
Pre-tax emoluments, excluding pension contributions	695	551
Company pension contributions to money purchase schemes	9	8
Amounts (excluding shares) receivable under long term incentive schemes (EBU)	127	9
TOTAL	831	568

3 directors (2004: nil), including the highest paid director, exercised share options in the year and no directors (2004: nil), including the highest paid director, became entitled to receive shares under long term incentive schemes.

Retirement benefits are accruing to 4 directors (2004: 2), including the highest paid director under a defined benefit scheme, and 2 directors (2004: 1), including the highest paid director, under a money purchase scheme.

	2005 £k	2004 £k
DIRECTORS' EMOLUMENTS - HIGHEST PAID DIRECTOR		
Pre-tax emoluments, excluding pension contributions	456	406
Company pension contributions to money purchase schemes	8	8
Defined benefit pension scheme: accrued pension at year end	74	64
Amounts (excluding shares) receivable under long term incentive schemes (EBU)	82	0

The above figures are based on a percentage split, according to time spent by each director in Esso Petroleum Company, Limited, which is determined by each director.

5 EMPLOYEES

	2005	2004
The average number of persons employed during the year was:		
Marketing, Refining and Transportation	1,976	2,206
Exploration and Production	709	771
TOTAL	2,685	2,977

The above numbers include employees seconded to other Group Companies as follows:

	2005	2004
Assigned to other ExxonMobil downstream group undertakings	442	546
Assigned to other ExxonMobil upstream group undertakings	709	771
TOTAL	1,151	1,317

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2005 £m	2004 £m
Amounts receivable from other ExxonMobil group undertakings	11.0	11.0
Other interest receivable	0.4	1.6
TOTAL	11.4	12.6

7 INTEREST PAYABLE AND SIMILAR CHARGES

	2005 £m	2004 £m
Amounts payable to other ExxonMobil group undertakings	28.4	32.8
Other interest payable	0.1	2.9
TOTAL	28.5	35.7

8 TAXATION ON PROFIT ON ORDINARY ACTIVITIES

	2005 £m	Restated 2004 £m
CURRENT TAX		
UK Corporation tax on profit for the period	99.5	68.6
Adjustments in respect of previous periods	(2.0)	(6.0)
TOTAL CURRENT TAX	97.5	62.6
DEFERRED TAX		
Origination and reversal of timing differences	(6.5)	(8.6)
Pension contribution relief in excess of pension cost charge	24.3	44.9
TOTAL DEFERRED TAX (note 16)	17.8	36.3
TAXATION ON PROFIT ON ORDINARY ACTIVITIES	115.3	98.9

Corporation Tax has been calculated at 30% on the taxable profit for the year (2004: 30%). The tax assessed for the period is lower (2004: lower) than the standard rate of corporation tax in the UK (30%). The differences are explained below.

Profit on ordinary activities before taxation	402.6	244.2
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 30% (2004: 30%)	120.7	73.3
Effects of:		
Depreciation for period in excess of capital allowances	0.7	6.0
Disallowable expenditure	5.9	0.0
Group relief surrendered for nil consideration	(3.5)	0.0
Adjustments to tax charge in respect of previous periods	(2.0)	(6.0)
Pension contribution relief in excess of pension cost charge	(24.3)	(44.9)
Other items	0.0	34.2
Current Tax Charge for the Period	97.5	62.6

Based on current capital investment plans the Company expects to continue to receive capital allowances in excess of depreciation in future years. No provision has been made for deferred taxation on gains arising from revaluing retail properties to their market value. Deferred taxation liabilities and assets are discounted.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

9 INTANGIBLE ASSETS

	Goodwill
	£m
COST	9.6
BALANCE AT 1 JANUARY AND 31 DECEMBER 2005	9.6
AMORTISATION	
Balance at 1 January 2005	4.2
Charge for year	0.6
BALANCE AT 31 DECEMBER 2005	4.8
NET BOOK VALUE AT 31 DECEMBER 2005	4.8
NET BOOK VALUE AT 31 DECEMBER 2004	5.4

10 TANGIBLE ASSETS

	Retail Sites	Other Land & Buildings	Plant & Equipment	Assets Under Construction	Total
	£m	£m	£m	£m	£m
COST OR VALUATION					
Balance at 1 January 2005	804.4	122.8	1,523.7	51.3	2,502.2
Additions	(0.0)	(0.0)	1.5	76.5	78.0
Disposals	(54.1)	(0.8)	(38.9)	(0.7)	(94.5)
Reclassification	3.2	(3.2)	0.0	0.0	0.0
Transfers	10.0	2.9	63.5	(76.4)	0.0
BALANCE AT 31 DECEMBER 2005	763.5	121.7	1,549.8	50.7	2,485.7
DEPRECIATION					
Balance at 1 January 2005	117.1	50.3	893.1	0.0	1,060.5
Charge for year	9.7	7.0	62.0	0.0	78.7
Disposals	(16.8)	(0.7)	(31.0)	0.0	(48.5)
Transfers	0.0	(0.1)	0.1	0.0	0.0
BALANCE AT 31 DECEMBER 2005	110.0	56.5	924.2	0.0	1,090.7
NET BOOK VALUE AT 31 DECEMBER 2005	653.5	65.2	625.6	50.7	1,395.0
NET BOOK VALUE AT 31 DECEMBER 2004	687.3	72.5	630.6	51.3	1,441.7

Included within Retail Sites are sites with a net book value of £11.5m (2004: £22.6m) which are being held for resale.

As at 31 December 2004 certain assets with a historical cost of £314.9m were revalued by CB Richard Ellis Limited, an external surveyor and a member of the Royal Institute of Chartered Surveyors, on a total open market value basis for existing petrochemical use of £716.6m, resulting in an increase in the revalued amount of £215.7m. These assets comprise the Retail portfolio of petrol filling stations held on a freehold or long term leasehold basis (at least 50 years unexpired term on the lease) and have been valued as fully equipped operational trading entities.

During the year 65 sites (2004: none) which had previously been revalued were sold resulting in £19.6m (2004: £nil) being transferred from the revaluation reserve. An additional £0.8m (2004: £nil) was transferred from the revaluation reserve following a review of retail sites which were in the process of being sold at the balance sheet date and for which the carrying value exceeded their expected fair values.

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

10 TANGIBLE ASSETS (continued)

There are no assets being held under finance leases which have been capitalised as fixed assets (2004: £nil).

The net book value of Retail Sites and Other Land & Buildings comprises:

	2005 £m	2004 £m
Freehold	689.2	722.4
Long leasehold	7.5	15.0
Short leasehold	22.0	22.4
TOTAL	718.7	759.8

If Retail Sites and Other Land and Buildings had not been revalued they would have been included at the following amounts:

Cost	503.9	525.5
Accumulated depreciation	(166.5)	(167.4)
Net Book Value	337.4	358.1

11 INVESTMENTS

Shares in subsidiary undertakings and investments

BALANCE AT 1 JANUARY AND 31 DECEMBER

	2005 £m	2004 £m
	9.7	9.7

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2005 are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares	Voting Rights
SUBSIDIARY UNDERTAKINGS			
Comma Oil & Chemicals Limited	Ordinary	100%	100%
ExxonMobil Pension Trust Limited	Ordinary	100%	100%
Mainline Pipelines Limited	Ordinary	65%	65%
Redline Oil Services Limited	Ordinary	100%	100%
Retail Petroleum Services Limited	Ordinary	100%	100%
ROC UK Limited	Ordinary	100%	100%
OTHER INVESTMENTS			
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Heathrow Hydrant Company Limited	Ordinary	20%	20%
Heathrow Hydrant Operating Company Limited	Ordinary	20%	20%
Heathrow Refuelling Service Company Limited	Ordinary	35%	35%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Stansted Fuelling Company Limited	Ordinary	29%	29%

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business.

On 9 June 2006 Heathrow Refuelling Service Company Limited was voluntarily liquidated.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

12 STOCKS	2005 £m	2004 £m
Raw materials and consumables	132.0	76.4
Work in progress	63.0	46.7
Finished goods and goods for resale	230.4	213.6
TOTAL	425.4	336.7

The replacement cost of all categories of stocks held by the Company at 31 December 2005 was £445.8m (2004: £331.9m).

13 DEBTORS	2005 £m	Restated 2004 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	446.5	305.5
Amounts owed by other ExxonMobil group undertakings	419.6	292.2
Amounts owed by subsidiary undertakings	29.8	14.4
Other debtors	30.1	24.5
Prepayments and accrued income	12.2	5.2
TOTAL	938.2	641.8
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR	£m	£m
Other debtors	10.2	1.0
Prepayments and accrued income	36.8	38.2
TOTAL	47.0	39.2

The Company participates in an interest bearing bank account pooling arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount as at the balance sheet date of £230.5m (2004: £185.5m) is included in Amounts owed by other ExxonMobil group undertakings.

Amounts owed by other ExxonMobil group undertakings and falling due within one year include one loan for £1.7m (2004: £3.0m) that bears interest at a rate of 3 month LIBOR + 0.0625% (2004: 3 month LIBOR + 0.0625%). All other balances are unsecured, interest free and have no fixed repayment date.

14 CREDITORS	2005 £m	Restated 2004 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	1.9	2.3
Trade creditors	23.3	32.7
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	700.0	600.0
Amounts owed to other ExxonMobil group undertakings - other	224.6	123.9
Amounts owed to subsidiary undertakings	0.4	0.0
Taxation and social security	363.9	314.8
Other creditors	9.8	5.8
Accruals and deferred income	216.6	171.3
Redeemable shares (note a)	345.0	345.0
TOTAL	1,885.5	1,595.8

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

14 CREDITORS (continued)

AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

Accruals and deferred income	19.7	23.1
TOTAL	19.7	23.1

Amounts owed to other ExxonMobil group undertakings - other are unsecured balances and have no fixed repayment date.

NOTE (a)

REDEEMABLE SHARE CAPITAL

	2005 £m	2004 £m
Authorised: 500,000,000 redeemable shares of £1 each	<u>500.0</u>	<u>500.0</u>
Allotted, called up and fully paid: 345,000,000 redeemable shares of £1 each	<u>345.0</u>	<u>345.0</u>

The 345,000,000 redeemable ordinary shares have a nominal value of £1. The Company and the holders of these shares have an option to redeem them on demand at any time for the original consideration. As a result of this FRS 25 classifies such redeemable shares as debt. Prior to the introduction of FRS 25, these shares were classified as equity share capital.

In all other respects the shares rank pari passu with the ordinary shares of the Company including (but not limited to) the priority and amounts receivable on a winding up, the payment of dividends and voting rights. There has been no change or modification to the rights attached to the shares in the year.

15 LOANS

	2005 £m	2004 £m
Amounts owed to other ExxonMobil group undertakings		
Repayable within 1 year	700.0	600.0
TOTAL	700.0	600.0

Amounts owed to other ExxonMobil group undertakings and falling due within one year include the following loans: one for £200.0m (2004: £300.0m) that bears interest at a rate of LIBOR + 0.55% (2004: LIBOR + 0.55%); one for £200.0m (2004: £nil) which bears interest at the rate of LIBOR + 0.55%; one for £300.0m (2004: £300.0m) which bears interest at the rate of LIBOR + 0.0625%. All other balances are unsecured, interest free and have no fixed repayment date.

Although the loans shown above have terms which enable them to be repaid within one year, and are therefore classified as short term under FRS 25, all are long term in nature with repayment dates ranging from 2009 to 2033. However, the most appropriate financing structure for the Company is continually being re-evaluated and loans may be repaid prior to their maturity date and/or replaced by alternative financing.

On 3 April 2006 one loan for £200.0m bearing interest at the rate of LIBOR + 0.55% was repaid by the Company following such a review.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred Taxation £m	Other £m	Total £m
Balance at 1 January 2005 (Restated)	102.5	14.0	116.5
Utilised during the year	(1.5)	(5.0)	(6.5)
Charge / (credit) to the profit and loss account	(6.5)	7.3	0.8
BALANCE AT 31 DECEMBER 2005	94.5	16.3	110.8

PROVISION FOR DEFERRED TAX

Capital allowances in excess of depreciation

Other timing differences

Prior year adjustment - Deferred taxation on SSAP 24 prepayment

DEFERRED TAXATION EXCLUDING THAT RELATED TO THE PENSION LIABILITY

Deferred taxation related to the pension liability (note 23)

TOTAL ASSET FOR DEFERRED TAXATION

	2005 £m	2004 £m
	97.3	104.9
	(2.8)	(1.3)
	0.0	(1.1)
	94.5	102.5
	(257.8)	(262.6)
	(163.3)	(160.1)

1 January 2005 as previously stated

Prior year adjustment - FRS 17 (note 23)

1 January 2005 restated

Deferred taxation charge in the profit and loss account (note 8)

Deferred taxation utilised during the year

Deferred taxation credit in the statement of total recognised gains and losses

DEFERRED TAXATION ASSET AT 31 DECEMBER 2005

	102.5
	(262.6)
	(160.1)
	17.8
	(1.5)
	(19.5)
	(163.3)

Other provisions primarily relate to the restructuring of UK operations and a provision of £5.0m (2004: £3.0m) has been recognised in relation to these costs. In addition a provision of £3.3m (2004: £4.7m) has also been recognised in relation to the cost of closure and remediation of sites closed prior to 31 December 2005 which are expected to be incurred within the next five years.

The provision for deferred tax is discounted as permitted by FRS 19. Discount rates used are the post-tax yields to maturity on government bonds with maturity dates similar to those of the deferred tax assets/liabilities. The average discount rate used is 3.02% (2004: 3.17%).

The deferred tax provision before discounting is £118.1m (2004: £122.9m). No provision has been made for deferred tax on gains recognised in revaluing property to its market value.

17 CALLED UP SHARE CAPITAL

Authorised:

229,000,000 ordinary shares of £1 each

	2005 £m	2004 £m
	229.0	229.0

Allotted, called up and fully paid:

228,385,200 ordinary shares of £1 each

	228.4	228.4
--	--------------	--------------

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

18 RESERVES

	2005 £m	Restated 2004 £m
PROFIT AND LOSS RESERVE		
Balance at 1 January as previously stated	122.3	(23.1)
Prior period adjustment - FRS 17	(615.2)	(547.4)
Balance at 1 January as restated	(492.9)	(570.5)
Retained profit for the financial year	287.3	145.3
Actuarial loss on pension plan	(65.1)	(96.7)
Movement on deferred taxation related to pension plan	19.5	29.0
Realisation of property revaluation gains in previous years	19.6	0.0
BALANCE AT 31 DECEMBER	(231.6)	(492.9)

REVALUATION RESERVE

Balance at 1 January	401.7	186.0
Revaluation during the year	(0.8)	215.7
Realisation of property revaluation gains of prior years	(19.6)	0.0
BALANCE AT 31 DECEMBER	381.3	401.7

CAPITAL RESERVE

BALANCE AT 1 JANUARY AND 31 DECEMBER	3.3	3.3
---	------------	------------

19 RECONCILIATION OF MOVEMENT IN SHAREHOLDER'S FUNDS

	2005 TOTAL £m	Restated 2004 TOTAL £m
Opening shareholder's funds as previously reported	1,100.7	739.6
Prior year adjustment - FRS 17	(615.2)	(547.4)
Prior year adjustment - FRS 25	(345.0)	(345.0)
Opening shareholder's funds as restated	140.5	(152.8)
Profit for the financial year	287.3	145.3
Revaluation during the year	(0.8)	215.7
Actuarial loss on pension plan (note 23)	(65.1)	(96.7)
Movement on deferred taxation related to pension plan (note 23)	19.5	29.0
Net addition to shareholder's funds	240.9	293.3
CLOSING SHAREHOLDER'S FUNDS	381.4	140.5

20 CAPITAL COMMITMENTS

	2005 £m	2004 £m
Commitments under contracts for capital expenditure not provided for in these financial statements amount to:	12.1	9.2

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

21 COMMITMENTS UNDER OPERATING LEASES

At 31 December the Company had annual commitments under non cancellable operating leases expiring as follows:

- within one year
- in two to five years
- after five years

TOTAL

2005	2004
Land & Buildings £m	Land & Buildings £m
3.2	1.4
3.5	1.1
6.2	11.0
12.9	13.5

22 CONTINGENT LIABILITIES

The Company has given guarantees in respect of the house sale guarantee scheme for relocating 10 employees (2004: 9). This involves guaranteeing the sale of the property at market value for employees who are relocating. There is no material difference between the guaranteed minimum and the current market value of these properties (2004: £nil).

23 PENSIONS

The Company is the major member of a funded defined benefit pension scheme in the UK with assets held in a separately administered fund. The Actuaries, Watson Wyatt Limited, are independent of the Company and their latest full actuarial valuation was carried out in 2005 on plan assets and liabilities as at 31 December 2004 on the projected unit basis. This has been updated to 31 December 2005 using the assumptions described below.

Employer contributions to the fund were £296.6 million (2004: £62.8 million). The Company made a one-off contribution of £235m during the year following the results of the valuation and normal employer's contributions were reduced with effect from January 2006.

The major assumptions used were:

	2005	2004	2003
Rate of increase in salaries	4.10%	4.00%	4.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	2.00%	2.00%	1.70%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97)	2.80%	2.75%	2.50%
Discount rate	4.80%	5.30%	5.30%
Inflation assumption	2.80%	2.75%	2.50%

The assets in the plan were:

	Value at 31 December		
	2005	2004	2003
	£m	£m	£m
Equities	1,468.9	1,158.0	1,066.1
Property	76.1	0.0	0.0
Bonds	477.7	377.9	350.2
Cash & Other	13.7	2.7	(5.5)
TOTAL	2,036.4	1,538.6	1,410.8

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2005

23 PENSIONS (continued)

Expected long term rate of return at 31 December:			
	2005	2004	2003
Equities	8.40%	8.50%	8.55%
Property	7.40%	0.00%	0.00%
Bonds	4.35%	4.82%	5.58%
Cash & Other	0.00%	0.00%	0.00%

Balance sheet liability as at 31 December:			
	2005	2004	
	£m	£m	
Total market value of plan assets	2,036.4	1,538.6	
Present value of plan liabilities	(2,719.5)	(2,401.0)	
Deficit in the plan	(683.1)	(862.4)	
Related deferred tax asset	257.8	262.6	
Net Pension liability	(425.3)	(599.8)	

Analysis of the amounts charged to operating profit:			
	2005	2004	
Current service cost	(38.2)	(36.4)	
Past service cost	(3.5)	(3.4)	
Total operating charge	(41.7)	(39.8)	

Analysis of the amount charged to other finance charges:			
	2005	2004	
Expected return on pension plan assets	113.9	109.3	
Interest on pension plan liabilities	(124.4)	(113.6)	
Net charge	(10.5)	(4.3)	

Analysis of the amounts recognised in the Statement of Total Recognised Gains and Losses:			
	2005	2004	
Actual return in excess of expected return on plan assets	195.3	54.9	
Experience gain / (loss) arising on pension plan liabilities	12.8	(74.0)	
Change in assumptions underlying the present value of the plan liabilities	(273.2)	(77.6)	
Actuarial loss recognised in Statement of Total Recognised Gains and Losses	(65.1)	(96.7)	

History of experience gains and (losses) for the year ended 31 December

	2005	2004	2003	2002
Difference between expected and actual return on plan assets:				
Amount (£m)	195.3	54.9	130.1	(309.5)
Percentage of plan assets	9.6%	3.6%	9.2%	25.3%
Experience gains and (losses) on plan liabilities:				
Amount (£m)	12.8	(74.0)	(10.5)	(75.8)
Percentage of the present value of plan liabilities	0.5%	3.1%	0.5%	4.1%
Total amount to be recognised in Statement of Total Recognised Gains and Losses:				
Amount (£m)	(65.1)	(96.7)	(150.4)	(613.6)
Percentage of the present value of plan liabilities	2.4%	4.0%	6.9%	33.0%

Esso Petroleum Company, Limited

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

23 PENSIONS (continued)

	2005	2004
	£m	£m
Analysis of the movement in the plan deficit during the year:		
Deficit in the plan at the beginning of the year	(862.4)	(784.4)
Contributions paid	296.6	62.8
Current service cost	(38.2)	(36.4)
Past service cost	(3.5)	(3.4)
Other finance charges	(10.5)	(4.3)
Actuarial loss	(65.1)	(96.7)
Deficit in the plan at the end of the year	(683.1)	(862.4)

The above actuarial valuation at 31 December 2005 showed a decrease in the deficit before tax from £862.4m to £683.1m. This is primarily due to additional contributions made offset by the movement in the discount rate assumed. As a result of the full triennial actuarial valuation effective 31 December 2004 and subsequent special contribution of £235.0m made in 2005, employer contributions have been reduced to 18.6% of pensionable salaries with effect from 1 January 2006. This contribution level is subject to actuarial review.

24 RELATED PARTY BALANCES

Esso Petroleum Company, Limited is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3(c) of FRS 8 'Related party disclosures' not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25.

At 31 December 2005 the outstanding lease deposits paid to third parties by Esso Petroleum Company, Limited on behalf of directors were: TG Katinas £32,650 (2004: £3,012) and RC Olsen £9,300 (2004: £nil). The lease deposits are part of the employee relocation scheme.

25 ULTIMATE HOLDING COMPANY

The immediate holding company is ExxonMobil UK Limited. The ultimate holding company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited. Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.

26 POST BALANCE SHEET EVENTS

On 3 April 2006 one loan for £200.0m bearing interest at the rate of LIBOR + 0.55% was repaid by the Company.